Elasticity Questions

1. You are a museum curator. An economist has estimated the demand for going to the museum has an elasticity of -0.3 at current prices. In order to increase revenue, you should–

a) Increase prices
b) Decrease prices
c) Lower the elasticity of demand
d) Increase the elasticity of demand
e) None of the above

2. The demand for apples has an elasticity of demand of -0.2. Which of the following would increase revenue in the market apples? (MARK ALL THAT APPLY)

a) A price ceiling below the market equilibrium
b) A price floor above the market equilibrium
c) A decrease in price of oranges (a substitute for apples)
d) An increase in price of water, an input into apple production
e) A new technology that enables cheaper production of apples

3. Which of the following goods would have the most inelastic demand (pick the best answer)

a) Lucky Charms (a brand of cereal)
b) Luxury watches
c) Long run demand for thermos
d) A pack of gum (assume the buyers have high incomes)
e) A phone charger for someone whose battery is at 2%

4. The demand for apples has an elasticity of demand of -0.5. Which of the following would increase revenue in the market apples? (MARK ALL THAT APPLY)

a) A price ceiling below the market equilibrium
b) A price floor above the market equilibrium
c) An increase in price of oranges (a substitute for apples)
d) An increase in price of water (an input into apple production)
e) A new technology that enables cheaper production of apples

5. Imagine the government would like to increase EV purchases by 20%. They know that the demand for EVs has an elasticity of -4. By how much should they decrease prices by? Would you expect the increase in EVs purchase to increase, decrease, or stay the same in the long run?

a) 5%, increase
b) 80%, decrease
c) 5%, decrease
d) 80%, increase
e) None of the above

6. Which of the following goods would have the least elastic supply? (pick the best answer)

a) Supply of tickets to a USC-UCLA game
b) Supply of Manufactured Goods
c) Coffee supply
d) Supply of stuffed animals

7. The demand for apples has an elasticity of demand of -1.5. Which of the following would increase revenue in the market for apples? (MARK ALL THAT APPLY)

a) A price ceiling below the market equilibrium
b) A price floor above the market equilibrium
c) An increase in price of oranges (a substitute for apples)
d) An increase in price of water (an input into apple production)
e) A new technology that enables cheaper production of apples

8. The price of raisins is $4, the elasticity of demand for raisins is -2.0. The price of labor (an input into making raisins) increases. What happens to total Raisin producers' revenue?

a. It stays the same
b. It increases
c. It decreases
d. Need more information

9. Which of the following goods would have the least elastic supply? (pick the best answer)

A. T-shirts
B. airplanes parts
C. Original Picasso paintings
D. Seasonal strawberries
E. Prescription drugs

10. Imagine the government would like to decrease alcohol consumption by 50%. They know that the demand for alcohol has an elasticity of -0.2. By how much should they increase prices by? Would you expect the drop in alcohol consumption to increase, decrease, or stay the same in the long run?

a) 250%, increase
b) 50%, decrease
c) 25%, decrease
d) 10%, increase
e) None of the above

11. If you have pricing power and demand for your product is inelastic, in order to raise revenue, you should–

a) Increase prices
b) Decrease prices
c) Lower the elasticity of demand
d) Increase the elasticity of demand
e) None of the above

12. Which of the following goods would have the most elastic demand (pick the best answer)

a) A helpful drug needed for those suffering from a disease
b) Gas for your car in the short run
c) A purchase that takes up a small part of your budget
d) Gum

13. The elasticity of electric car demand is estimated to be -0.2. For the quantity of electric cars to increase by 20%, how much would the price have to be decreased by? Do you expect revenue to increase or decrease in this market if this change happened?

a. 100%, decrease
b. 100%, increase
c. 10%, decrease
d. 10%, increase
e. None of the above

14. Which of the following goods would have the least elastic demand (pick the best answer)

a) Sunscreen at the beach
b) Luxury Cars
c) Vacations
d) A fancy treadmill

15. Which of the following goods would have the least elastic supply? (pick the best answer)

a) Supply of housing in San Francisco
b) Supply of Manufactured Goods
c) Coffee supply
d) Supply of stuffed animals

16. Imagine the government would like to decrease soda drinking by 30%. They know that the demand for soda has an elasticity of -2. By how much should they increase prices by? Would you expect the drop in soda drinking to increase, decrease, or stay the same in the long run?

a) 15%, increase
b) 60%, decrease
c) 15%, decrease
d) 60%, increase
e) None of the above

17. The demand for apples has an elasticity of demand of -0.5. Which of the following would increase revenue in the market apples? (MARK ALL THAT APPLY)

a) A price ceiling below the market equilibrium
b) A price floor above the market equilibrium
c) An increase in price of oranges (a substitute for apples)
d) An increase in price of water (an input into apple production)
e) A new technology that enables cheaper production of apples